

The Asian Tigers



One of the most dramatic economic developments of the 20th century was the transformation of the so-called Asian Tigers – Hong Kong, South Korea, Singapore and Taiwan – from marginal economies into advanced, developed nations with standards of living to match those in Europe and the United States. Some contend that their success was due to the state getting out of the way and allowing free markets to operate. Others argue that these countries had ‘developmental states’ – governments that deviated from orthodox recommendations to provide only basic public goods and not to meddle with the markets. This second explanation stresses the authoritarian, interventionist nature of these governments, which although embracing markets, also shaped them – for example, by directing production towards particular industrial sectors. Whatever the truth, it is certainly the case that these countries had unique kinds of economic

organization. More recently, China's economy has also taken off. It, too, has crafted its own mix of state intervention and market incentives.